

Power Finance Corporation Ltd

PFC · Financials

ROE

26.2%

ROCE

3.5%

Net Profit Margin

28.9%

Debt-to-Equity

8.52

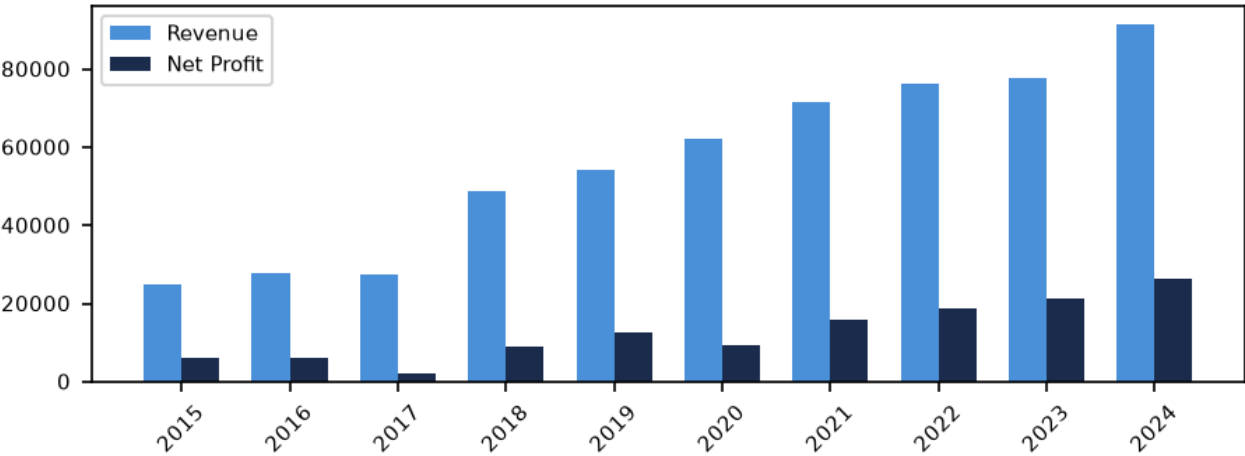
Revenue CAGR (5yr)

11.1%

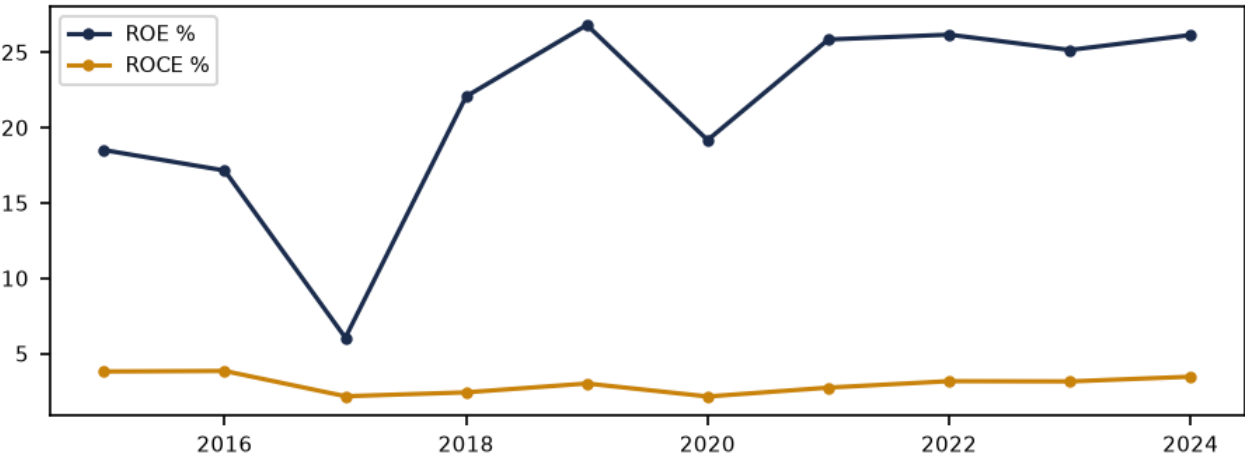
Free Cash Flow

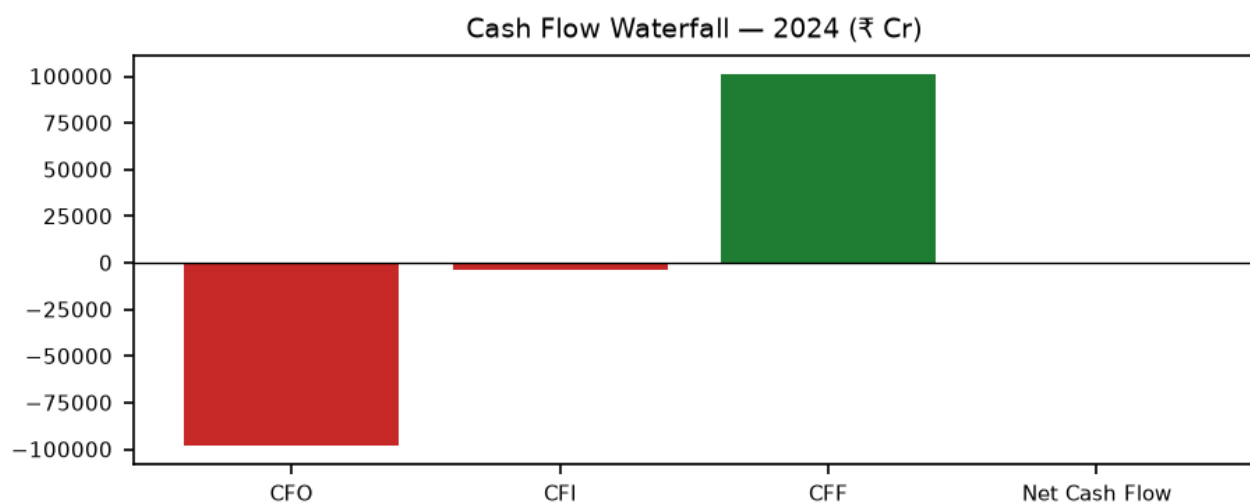
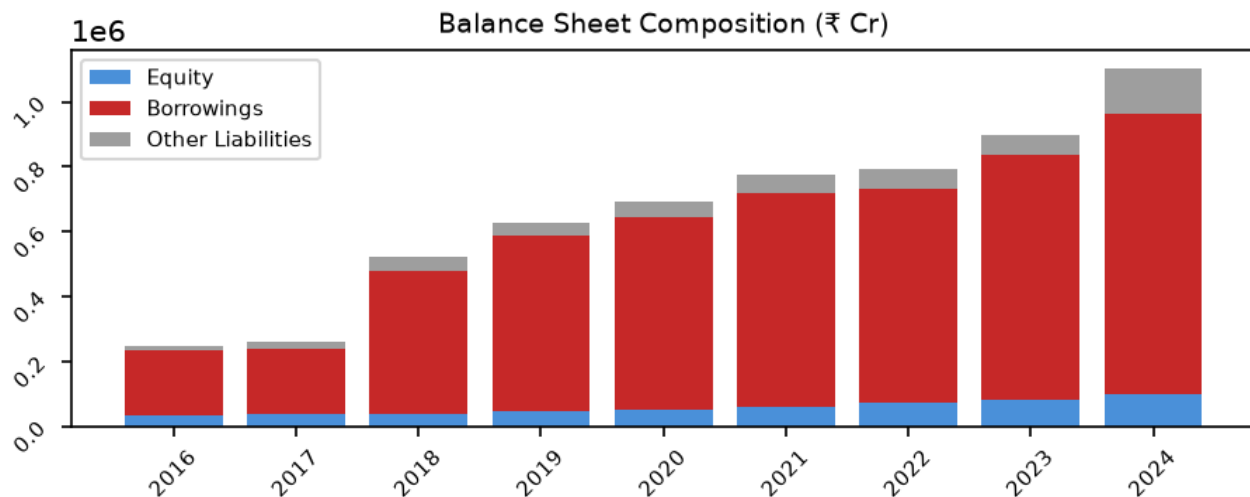
■ -101,229 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Distress